

✓ 10% – New Credit

Number of accounts recently opened; Proportion of new accounts to total accounts; Number of recent credit inquiries; The time that has passed since recent inquiries or newly-opened accounts; If you've re-established a positive credit history after encountering payment problems.

What It Means

In a nutshell, your FICO score is primarily concerned (65%) with your payment history and what you owe. It seems like it should be so easy. Pay your bills. Pay on time. Don't owe too much. It could be that easy if the myriad of financial industry-created fees was not allowed to run rampant and trample our credit histories and our pocketbooks. Another element that adds to the fact that the deck is stacked against the American citizen is how the FICO software manipulates the numbers. We know it is complicated, but it is also surprising and disturbing.

What They Do with It

A FICO credit expert, Hazel Valera, in a workshop for the Millionaire Real Estate Club of Las Vegas, stated that the FICO software analyzes your habits over the last two years. Of all the gyrations that the computer cranks through, six rating factors are positive and eighty-eight are negative. That's right. That's a landslide, and the odds are not in the favor of the working citizen. The software code is looking for eighty-eight things that can be used against you. The software is designed to find things to make your score drop.

The free credit reports sometimes include a free credit score that the credit reporting agency calculates, but that is not the actual FICO score. Some credit card companies are satisfied with those scores, but mortgage lenders will only use the official FICO score. Make sure that is the one you get. There is a small fee for the FICO score, but you want to know what they know, so get your FICO score.